

Beyond Beta: Why Taiwan May Outlast the AI Debate

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Taiwan's dominance in chip manufacturing makes it a concentrated, high-conviction bet on artificial intelligence (AI) infrastructure demand-the so-called "foundational" trade. But that raises an uncomfortable question: What happens if the world starts dialing back on capital expenditure (capex)?

It's a fair concern. AI capex has been staggering, and it's no wonder investors are asking whether the returns will match the outlay-especially with a fresh round of headlines questioning AI's risks adding to the unease. Elevated US Treasury yields have restored a traditional discipline to markets: Capital has a cost, and distant earnings are worth less today.

While the United States remains the center of gravity for AI model development, Taiwan is focused on advanced chip fabrication, packaging and the supplier ecosystem that turns AI ambitions into physical capacity. And two of the biggest questions around the Taiwan investment story are: whether AI outcomes are uncertain (they are), and whether AI infrastructure demand is uncertain (less so).

Even as AI skepticism has intensified, revenue growth has accelerated for Taiwan's integrated-circuit (IC) industry, which is the ecosystem that makes the tiny electronic "brains" inside computers, smartphones, cars, data centers and AI systems. This is a signal worth paying attention to, since uncertainty over which AI winners might ultimately emerge has not dented demand for the companies enabling the infrastructure beneath them.

After Taiwan's IC industry experienced a 10% revenue contraction in 2023, its global semiconductor revenues rebounded ~22% in 2024, nearly 23% in 2025, and are projected by the Taiwan Semiconductor Industry Association to grow about 41% in 2026.¹

Importantly, demand visibility extends well beyond the next few quarters. One indication of that longer demand horizon comes from Taiwan's largest semiconductor manufacturer, which has said that customer engagement for increasingly complex leading-edge technologies now begins at least two to three years in advance, providing visibility into customers' multi-year product and production plans.²

Taiwan IC Revenues Rebound Strongly After 2023 Downturn

Taiwan Integrated Circuit Revenue Growth 2020 to 2026E

Note: Revenue growth pertains to Taiwan worldwide semiconductor revenue growth. Source: Taiwan Semiconductor Industry Association. There is no assurance that any estimate, forecast or projection will be realized.

Taiwan's Next Exciting Chapter May Happen Outside the Fabs

A large export boom doesn't stay confined to exports indefinitely. Revenues become capex, investment creates jobs, profits support wages and rising income supports consumption. Taiwan's macroeconomic data is showing early signs that the AI export boom may be filtering into the domestic economy. Net exports remained the dominant contributor to growth in the second quarter, but private consumption and capital investment also made meaningful contributions-a notable change from three years ago when investment was contracting. Record employee earnings and elevated household savings provide additional potential fuel for domestic demand.

The first chapter of Taiwan's AI story was what it exported; the second may be what profits for those exports generate domestically.

Real GDP Growth and Inflation Forecasts

Source: Bloomberg Consensus. There is no assurance any estimate, forecast or projection will be realized. Important data provider notices and terms available at www.franklintempletondatasources.com.

Higher Treasury Yields Should Change What Investors Demand

Higher rates compress multiples for growth priced years out. But they also sharpen the AI debate, forcing markets to separate companies promising future profits from those already generating earnings from infrastructure demand. After

seeing nearly a 34% earnings contraction three years ago, Taiwan's corporate earnings have rebounded strongly, and that momentum is expected to accelerate this year. Consensus estimates currently call for earnings per share (EPS) to grow more than 50% in 2026.³

Wait for the Dip-or Allocate Through It?

Foreign investor demand for Taiwan dampened during June's tech selloff, but then bounced back with strong third quarter inflows. That pattern shows up in the broader ETF flow data. US-listed international equity net inflows fell by more than half in the second quarter, to just under US\$54 billion from US\$113.5 billion in the first quarter.⁴ Flows rebounded to about US\$28.1 billion in July and held at a still-strong US\$23.4 billion in August, well above the Q2 monthly average.⁵

Country-level ETF flows zoom in on this same story. South Korea saw about US\$1.3 billion in Q2 outflows before reversing to gather US\$5.04 billion in July and staying positive at US\$530 million in August. Taiwan's flows, while positive, softened over spring and early summer before reaccelerating in July and August. In fact, August alone nearly matched Taiwan's entire Q2 total, and quarter-to-date inflows of US\$1.2 billion are already more than 60% ahead of the full second quarter.⁶

To be sure, this swing isn't a trading signal-it just shows how fast sentiment can move even when the industrial position hasn't. Real risks remain: cyclical semiconductor demand, a tech-heavy equity market, cross-strait tensions, rate pressure on valuations, and the chance that AI capex genuinely does retrench.

Waiting for every uncertainty to find resolution, however, also has its own cost: Markets may already have repriced the resolution by the time it arrives. Uncertainty exists. That much is clear. The better question is whether the reason for owning Taiwan has deteriorated. In our view, it hasn't.

Many US investors already own heavy AI exposure through mega-caps. Taiwan as an AI play can be viewed as closer to the physical build-out than the model layer.

That also argues for looking beyond any single chipmaker. Technology represents a large share of Taiwan's broad equity market, creating concentration risk, but the opportunity set extends well beyond its biggest companies. Taiwan is home to a deep ecosystem spanning chip design and manufacturing, advanced packaging and testing, electronics assembly, networking and power-management technologies. Recent gains have also extended across a wide range of technology companies, suggesting the AI hardware cycle is reaching more broadly through the corporate ecosystem.

The question may no longer be whether investors have missed Taiwan's AI boom. It may be whether they're overlooking what comes after it.

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Endnotes

Source: Taiwan Semiconductor Industry Association (TSIA).

Source: TSMC company earnings conference calls, January and July 2026.

Sources: Bloomberg, MSCI, Franklin Templeton Global Research Library, August 2026. Based on the MSCI Taiwan Index. Indexes are unmanaged and one cannot directly invest in them. They do not include fees, expenses or sales charges. There is no assurance that any estimate, forecast or projection will be realized.

Sources: Morningstar Direct, estimated monthly share-class net flows for U.S.-listed ETFs, data through August 31, 2026. For country-level analysis, South Korea includes EWY, FLKR and MKOR, while Taiwan includes EWT and FLTW; leveraged/inverse and regional products were excluded.

Source: Ibid.

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WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal.

Equity securities are subject to price fluctuation and possible loss of principal.

ETFs trade like stocks, fluctuate in market value and may trade at prices above or below their net asset value. Brokerage

commissions and ETF expenses will reduce returns. ETFs may not readily trade in all market conditions and may trade at significant discounts in periods of market stress.

International investments are subject to special risks, including currency fluctuations and social, economic and political uncertainties, which could increase volatility. These risks are magnified in emerging markets. Investments in companies in a specific country or region may experience greater volatility than those that are more broadly diversified geographically.

There are special risks associated with investments in China, Hong Kong and Taiwan, including less liquidity, expropriation, confiscatory taxation, international trade tensions, nationalization, and exchange control regulations and rapid inflation, all of which can negatively impact the fund. Investments in Hong Kong and Taiwan could be adversely affected by its political and economic relationship with China.